

FIRST INFORMATION REPORT

(Under Section 173 BNSS)

1. **District:** Bangalore **PS:** BS&FB Bangalore
Year: 2026
FIR No: RC0782026E0004 **Date:** 20/07/2026

2. **Acts & Sections:**

Acts	Sections	R/W Section
IPC	120-B	R/w 409, 420, 467, 468, 471, 477A
PC Act-1988	13(2) r/w 13(1)(d)	
PC Act-1988 (As amended in 2018)	13(1) (a)	

3. **Suspected offences:** Bank Fraud
(a) **Occurrence of offence:**
Day: **Time Period:**
From Date: 2002 **To Date:** 2025
(b) **Information Received at PS:** CBI, BSFB, BANGALORE
Date:
(c) **General Diary Reference:**
Entry No.: 08
Date: 20/07/2026 **Time:** 19:28:56

4. **Type of Information:** Written

5. **Place of Occurrence:** Andhra Pradesh and Telangana

(a) **Direction & distance from PS:**
Beat No.:
(b) **Address:**
Plot No.: **Area:**
City: **Pin:**
State: **District:**
(c) **In case, outside the limit of this Police Station, then**
Name of PS: **District:**

6. **Complainant / Informant:**

Complainant 1

(a) **Name:** Mr. Boorle Vara Prasad
(b) **Father's/Husband's Name:**
(c) **Date/Year of Birth:**
(d) **Nationality:** INDIAN
(e) **Passport:**

Passport No.	Date Of Issue	Place Of Issue
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(f) **Occupation:** Chief Manager

(g) **Address:**

Plot No	Area	City	State	District	Pin
Chief Manager, Punjab National Bank. SAM Branch	4th Floor, PNB Towers, No.46-49, Royapettah High Road	Chennai	Tamil Nadu	Chennai	600014

7. **Details of known/suspected/unknown accused with full particulars:**

Accused 1**Name:** M/s. NCS Sugars Ltd.(1)**Address:**

Regd office : 405, Minar Apartments, Basheer Bagh, Hyderabad, Hyderabad, Telangana, 500001

Manufacturing Unit: Lakshmi Tirumala, Latchayyapeta, Sitanagaram (M), Bobbili, Vizianagaram, Andhra Pradesh, 535573

Accused 2**Name:** Mr.Narayanam Nageswara Rao (2)**Address:**

R/o Plot No. 10, Road No.2,, Banjara Hills, Hyderabad, Hyderabad, Telangana, 500034

Accused 3**Name:** Mr.Narayanam Srinivas (3)**Address:**

R/o. 25-05-22, Subrahmanyampeta, Vizianagaram, Vizianagaram, Andhra Pradesh, 535002

Accused 4**Name:** Mr.Narayanam Murali (4)**Address:**

R/o No. 68-06-15, Ashok Nagar, Beside Gokulam Temple Ashok Nagar, Kakinada, East Godavari, Andhra Pradesh

Accused 5**Name:** Mr.Dwivedula Satyanarayana Peri Sastry (5)**Address:**

R/o. 3-5-1096, Flat No.101, United India Insurance Officers Quarters, Narayanaguda, Hyderabad, Hyderabad, Telangana, 500029

Accused 6**Name:** Mr.Mohd Zaheer YL Ehsan (6)**Address:**

R/o 16-1-24-A/10, Green Land Colony, Saidabad, Hyderabad, Telangana

Accused 7**Name:** Mr.Dwivedula Krishna Deekshithulu Gullapalli (7)**Address:**

R/o Plot No.1, Flat No. 102, Kalyan Nagar,, Phase-III, Mothi Nagara,, Hyderabad, Telangana, 500018

Accused 8**Name:** Mr.Rama Rao Jakulla (8)**Address:**

R/o. 405, Minar Apartments, Basheerbagh, Deccan Towers, Hyderabad, Hyderabad, Telangana, 500001

Accused 9**Name:** Mr.Qazi Zainulabedin (9)**Address:**

R/o 405, Minar Apartments, Basheerbagh, Deccan Towers, Hyderabad, Telangana, 500001

Accused 10**Name:** Unknown Public Servant(s) & Private Person(s)**Address:****8. Reasons for delay in reporting by the complainant/informant:**

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9. Particulars of properties stolen:

Item Name	Age of Property	Estimated Value (in INR)
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10. Total value of property stolen:

11. Inquest Report/U.D. Case No., if any:

12. First information contents:

A written complaint dated 22.06.2026 from Shri Boorle Vara Prasad, Chief Manager, Punjab National Bank, SAM Branch, 4th Floor, PNB Towers, No.46-49, Royapettah High Road, Chennai, is received at CBI, BSFB, Bangalore is taken as part and parcel of FIR and same is enclosed herewith.

The allegations in the complaint discloses commission of cognizable offences punishable U/s. 120-B r/w 409, 420, 467, 468, 471, 477-A of IPC and Sec. 13(2) r/w 13(1)(d) of PC Act, 1988 and section 13(1)(a) of PC Act (as amended in 2018) by M/s NCS Sugars Ltd. and its directors namely Shri Narayanam Nageswara Rao, Shri. Narayanam Srinivas, Shri. Narayanam Murali, Shri. Dwivedula Satyanarayana Peri Sastry, Shri. Mohd. Zaheer-YL-Ehsan, Shri. Dwivedula Krishna Deekshithulu Gullapalli, Shri. Rama Rao Jakulla, Shri. Qazi Zainulabedin and unknown public servants and Unknown entities/associates/related parties/other persons.

Hence, a Regular Case u/s 120-B r/w 409, 420, 467, 468, 471, 477-A of IPC and Sec. 13(2) r/w 13(1)(d) of PC Act, 1988 and section 13(1)(a) of PC Act (as amended in 2018) is registered against the above mentioned company / persons and unknown public servants and unknown persons and entrusted to Shri. Dharmendra, Inspector of Police, CBI, BSFB, Bangalore for investigation.

13. Action taken : Since the above information reveals commission of offence(s) u/s as mentioned at Item No.2:

(1) Registered the case and took up the investigation: Yes

OR

(2) Directed

Name of IO:

DHARMENDRA

Rank:

INSPECTOR (BS&FB Bangalore)

No:

146889

to take the investigation

OR

(3) Refused investigation due to:

OR

(4) Transferred To PS:

District:

on point of jurisdiction.

Attached documents:

Document name

Complaint dtd 22-06-2026 of Punjab National Bank

FIR read over to the complainant/informant, admitted to be correctly recorded and a copy given to the complainant / informant, free of cost.

R.O.A.C.

14. Signature/Thumb Impression of the complainant/informant

Signature of Officer in-charge Police Station

Name: Manjunath Singe

Rank: DY. INSP. GENERAL OF POLICE (BS&FB Bangalore)

15. Date and time of dispatch to the Court:

MANJUNATH SINGE
Digitally signed by
MANJUNATH
SINGE
Date: 2026.07.20
19:43:27 +05'30'

ਐਸਐਮਬੀ ਚੇਨਾਈ /SAMB CHENNAI

ਚਤੁਰ੍ਥ ਤਲ/4TH Floor, ਪੀਐਨਬੀ ਟਾਵਰਸ/ PNB Towers, ਨੰ 46-49/ No.46-49
ਆਰ. ਐਚ. ਰੋਡ, ਰਾਧਪੇਟਾ/ Royapettah High Road, ਚੇਨਾਈ /Chennai- 14
Phone: 28112261-90 ; email:zs8341@pnb.bank.in

SPEED POST WITH AD

To,

Date: 22.06.2026

The Head of Zone,
BS & F Zone, CBI
5-B, 10th floor, "A" Wing
CGO Complex, Lodhi road
New Delhi

Sub: Request for registering FIR against the accused named hereunder for the offence of criminal misappropriation, criminal breach of trust, criminal conspiracy etc. under the provisions of Indian laws, thereby causing wrongful gain to themselves and wrongful loss of public money to the complainant bank to the tune of Rs.105.44Crore

1. M/s NCS Sugars Ltd

Regd. Off: 405, Minar Apartments, Deccan Towers, Basheer Bagh, Hyderabad, Telangana – 500 001. Telangana

Mfg Unit : Lakshmi Thirumala, Latchayyapeta, Sitanagaram (M), Vizianagaram Dist., Bobbili, Andhra Pradesh – (PIN – 535573)

(Under CIRP) CIN: U15421TG2002PLC039085

2. Mr.Narayanam Nageswara Rao,

S/o N. Narasimha Murthy aged: 70,
resident of Plot No: 10, Road No:2,
Banjara Hills, Hyderabad, Telangana State – 500034
DIN:00029420, Passport No. Z1867088, PAN No. ABFPN1349F

3. Mr Narayanam Srinivas

S/o. N. Narasimha Murthy, 25-05-22,
Subrahmanyampeta, Vizianagaram-535002.
DIN:00298378, Passport No. L8669595, PAN No. ABWPN9589J

4. Mr Narayanam Murali, Door No: 68-06-15,

Ashok Nagar, Beside Gokulam Temple Ashok Nagar,
Kakinada 38 Andhra Pradesh. Mobile: 9347060700
DIN:00298315, Passport No. F8923804, PAN No. ABFPN1316A



एसएमबी चेन्नई /SAMB CHENNAI
चतुर्थ तल/4TH Floor, पीएनबी टावर्स/ PNB Towers, नं 46-49/ No.46-49
आर. एच. रोड, रायपेट्टा/ Royapettah High Road, चेन्नई /Chennai- 14
Phone: 28112261-90; email:zs8341@pnb.bank.in

5. **Mr. Dwivedula Satyanarayana Peri Sastry**
R/o 3-5-1096, Flat no.101
United India Insurance Officers Quarters,
Narayaanaguda, Hyderabad-5000029
DIN:07276209, PAN No. AEXPD4905Q
6. **Mohd. Zaheer -YL-Ehsan**
R/o 16-1-24-A/10
Green Land Colony, Saidabad
Hyderabad
DIN:05103600, PAN No. AACPZ0742N
7. **Mr. Dwivedula Krishna Deekshithulu Gullapalli**
R/o Plot no. 1, Flat no. 102, Kalyan Nagar,
Phase-III, Mothi Nagara, Hyderabad -500018
DIN:07974947, PAN No. AHYPG5306J
8. **Mr. RamaRao Jakulla**
R/o 405, Minar apartments
Basheerbagh, Deccant Towers, Hyderabad -500001
DIN:07239460, PAN No. ACUPJ2716J
9. **Mr. Qazi Zainulabedin**
R/o 405, Minar apartments
Basheerbagh, Deccant Towers, Hyderabad -500001
DIN:00169441, PAN No. AADPZ1916D
10. **Unknown Public Servants**
11. **Unknown Entity/ Associates/ Related Parties/Other persons**

Sir,

The Complainant submits as under:

1. The Complainant is Punjab National Bank, a body corporate constituted under the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 having its corporate office at Plot No.4. Sector -10, Dwarka. New Delhi — 110075 carrying on banking business all over India and amongst others, a branch by name Stressed Asset Management Branch (SAMB), Punjab National Bank, 46-49, PNB Towers, 4th Floor, Royapettah High Road, Chennai-600014.



एसएमबी चेन्नई /SAMB CHENNAI

चतुर्थ तल/4TH Floor, पीएनबी टावर्स/ PNB Towers, नं 46-49/ No.46-49

आर. एच. रोड, रायपेट्टा/ Royapettah High Road, चेन्नई /Chennai- 14

Phone: 28112261-90; email:zs8341@pnb.bank.in

2. That I, Sh Boorle Vara Prasad, Chief Manager serving in Stressed Asset Management Branch (SAMB), PNB Towers, Royapettah High Road, Royapettah, Chennai-14 and well acquainted and conversant with the facts and circumstances of the above case and duly authorized by competent authority of the Bank to report and lodge the present complaint by bringing to your notice the following facts for taking immediate action against the above named accused persons as per law. Presently, on consequent of revamping existing recovery vertical and setting up of Stressed Asset Management Branch (SAMB) at Chennai, account which was earlier dealt at Zonal Sastra, Hyderabad has been transferred to SAMB, Chennai and is being dealt by said branch for taking further action in the matter.
3. The accused No. 1 is borrower company who has taken sanction facilities from the Complainant. Accused 2 to 9 are Directors of the Company and were responsible for day-to-day operations, functioning & affairs and for the conduct of its business of the accused no. 1 at the time of obtaining loan and at the time of commission of offence.
4. A fraud involving an amount of Rs.105.44 crores has been perpetrated in the account M/s NCS Sugar Ltd.

A. COMPANY BACKGROUND, PARTICULARS OF DIRECTORS, SANCTIONED CREDIT FACILITIES & SECURITIES

- (a) M/s NCS Sugars Ltd is a public company incorporated on 06 Dec 2002. It is classified as non-Govt Company and is registered at Registrar of Companies, Hyderabad, Telangana with CIN: U15421TG2002PLC039085.
- (b) The company has its unit of manufacture of sugar at Lakshmi Thirumala, Latchayyapeta, Sitanagaram (M), Vizianagaram Dist., Bobbili, Andhra Pradesh – (PIN – 535573)



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- (c) The Company was engaged in sugar producing activity having 6000 TCD sugar unit and also established 20MW COGEN unit (using Bagasse as main fuel). Company had been dealing with bank from 2002 initially with Erstwhile Global Trust Bank and the said bank merged with Oriental Bank of Commerce in the year 2004 and Erstwhile Oriental Bank of Commerce now merged in Punjab National Bank w.e.f. 01.04.2020.
- (d) The account, M/s NCS Sugars Limited was classified as Non-Performing Asset on 31.12.2013 having an outstanding amount of Rs. 103.64 Crores as per the RBI prudential norms. The Company could not meet the Sugarcane farmers dues amounting to approximately Rs.55.00 Crores due to which the farmers staged several agitations between January 2014 and October 2014. The Concerned District Collector intervened and took control of the stock of molasses in factory with the support of Sugar Cane Commissioner and the factory funds are monitored by the District Collector and his team. In the meanwhile, in Oct'2016, the Lead Bank (Andhra Bank) had assigned its debt to Alchemist ARC.
- (e) That under recovery action process, the bank had initiated action under SARFAESI Act but could not succeed in auction due to the above challenges in the sugar factory at that point of time. As per Company's Audited Balance Sheet 2019; it had recorded a total income of Rs 71.82 Crs, Net Loss of Rs 6.59 Crs. Further, its Net worth was negative at Rs 231.08 Crs and Net Block stood at Rs 54.80 Crs.



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B. FACILITIES/ENHANCEMENT IN THE LIMIT SANCTIONED BY PUNJAB NATIONAL BANK ARE AS UNDER:

SI No	Nature of Credit Facilities sanctioned	Loan Amount sanctioned	Date of Sanction
i.	Term Loan-Rs.8.96 Crs, WCDL-Rs.3.00 Crs	Rs.11.96 Crs	2002 (eGTB)
ii.	Term Loan-Rs.5.96 Crs, WCDL-Rs.6.00 Crs	Rs.11.96 Crs	2004 (eGTB)
iii.	Cash Credit-Rs.6.00 Crs, Term Loan 1-Rs.30.00 Crs, Term Loan 2-Rs.3.29 Crs, Letter of Credit-Rs.30.00 Crs (sub-limit), Packing Credit facility-Rs.37.00 Crs	Rs.76.29 Crs	18-05-2006 (eOBC)
iv.	Cash Credit-Rs.6.00 Crs, Term Loan 1-Rs.1.77 Crs, Term Loan 2-Rs.30.00 Crs, Term Loan 3-Rs.2.53 Crs, BG-Rs.0.57 Crs, Packing Credit facility cum FDBP-Rs.20.00 Crs	Rs.60.87 Crs	28-03-2008 (eOBC)
v.	Cash Credit- Rs.6.00 Crs, Term Loan 1-Rs.24.71 Cr, Term Loan 2-Rs.2.53 Crs, BG-Rs.0.57 Crs, ILC-Rs.130.00 Crs	Rs.163.81 Crs	18-03-2010 (eOBC)
vi.	Cash Credit- Rs.6.00 Crs, Term Loan-Rs.15.17 Cr, BG-Rs.0.57 Crs, ILC/FLC-Rs.80.00 Crs	Rs.101.74 Crs	20-06-2012 (eOBC)



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C. DETAILS OF SECURITIES (PRIMARY & COLLATERAL)

<u>Type of Security (Primary/ Collateral)</u>	<u>Description of Security (include complete address)</u>	<u>Whether Exclusively charged</u>
Primary	Factory at Bobbili, Vijayanagaram, A.P	Paripassu basis
Collateral	24.50 Acres of Agriculture lands situated at Bobbili, Vizianagaram, A.P belongs to M/s NCS Sugars Ltd	Exclusive charge with PNB
	229.07 Acres of Agricultuer lands situated at Maduguvarigondi, Dadulur, Timmanayani Palyam, ObulareddiPalli, Anantapur, A.P belongs M/s NCS Sugars Ltd	Exclusive charge with PNB

D. FINDINGS OF FORENSIC AUDIT REPORT OF M M REDDY & CO IS AS UNDER:

The Bank appointed Forensic Auditor in the account on 08.10.2024. Forensic audit was conducted in the account by M/s M M Reddy & Co., Chartered Accountants and submitted its report dated 18.06.2025 and their finding is as under:

- The audit confirms deliberate and extensive misuse of funds by fraudulent conduct of the promoters through associated related entities, involved fund diversion.
- The borrower has routed substantial amount of funds as mentioned below through non-lender banks. Routing of funds through non-lending banks violates sanction terms and conditions and violates the RBI guidelines and considered as diversion of funds.
- The borrower made Investments in Delara Tourism Corporation Pvt Ltd. In the nature of Inter Corporate Deposits (ICDs) through HDFC Banks worth Rs.25.50 Cr Outstanding as on 31.03.2020 and Investment in shares amounting Rs.10.94 Cr made before FY 2008-09, subsequently in FY 2017-18, the entire shares has been transferred to M/s NCS Investments Pvt Ltd by way of passing journal entries



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- (d) That certain transactions which are not related to the business operations of the company such as acquisition of Hydel Power Plants, dealing in Derivative Contracts etc., which caused huge financial loss to the company and also granted huge amount to the related parties by way of Inter Corporate Deposits and Investment in equity shares.
- (e) Funds were frequently transferred to and from related entities such as M/s NCS Industries Pvt Ltd, M/s NCS Distilleries Pvt Ltd, M/s NCS Renewable Energies Ltd, M/s NCS Investments, M/s Ambica Infra Ventures Pvt Ltd, Sai Samhitha Storages and others.
- (f) Many journal voucher entries (instead of bank transfers) indicated closing of accounts balances between the company and related parties without any underlying invoices, contracts, or legitimate business purposes.
- (g) Some payments appeared to be round-tripped, where funds were paid to related parties and partly returned, creating an illusion of legitimate business transactions.

E. PARTIES WHICH ARE ROUTED THROUGH M/s NCS INVESTMENTS

Intermediary Party / Source	Mode of transfer	Purpose/Observation	Amount (Rs. In Crores)
Ambica Infraventures Pvt. Ltd (on 31-03-2018)	Journal Voucher	Amount brought back & transferred	10.12
VDB Projects Ltd (FY 2011-12 & FY 2012-13)	Journal Voucher	Routed from VDB Projects to NCS Investments via JV	13.50
FO Others (Factory Liabilities)- FY 2013-14	Journal Voucher (JV 649/51)	Transfer of PEC Ltd liability	53.60
MBG Commodities, Bhatia Global, Agarwal Coal (FY 2013-14)	Journal Voucher	Liabilities shown as "brought back" and routed to these parties	15.12

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F. FUNDS ROUTED TO M/s NCS INDUSTRIES PVT. LTD BY PASSING JOURNAL VOUCHERS:

Intermediary Party / Source	Mode of transfer	Purpose/Observation	Amount (Rs. In Crores)
Ambica Infra (in 2012-13 & 2013-14)	Journal Voucher	Routed via factory and bank into NCS Industries	10.04
Sai Samhita Storage (FY 2013-14)	Liability transfer	On 30-03-2013 Amount transferred to NCS Industries and subsequently on 31-03-2018 again brought back in 2018 and routed to NCS Investments.	14.51
	Total		24.55

G. FUNDS ROUTED TO NCS SUGARS(NELLORE) BY PASSING JOURNAL VOUCHERS:

Year	Mode of transfer	Purpose/Observation	Amount (Rs. In Crores)
2012-13	Passed JV	Balance transferred from VDB Sugars	4.82
2015-16	Passed JV	BMW Car Sales	0.41
2017-18	Bank transfer	Share capital funds diverted	0.62
	Total		5.85

H. LEGAL FACTS CONSTITUTING CONGNIZABLE OFFENCE

1. The Borrower company has transferred Rs.140 Crores to Subsidiaries/group/related parties and misappropriated funds and committed Criminal Breach of terms and conditions of sanction Letter of Complainant Bank.



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2. The accused had routed funds through bank other than the lender bank or members of consortium without prior permission of the bank/lenders, the details of which are as under:

The Company has routed significant volumes of funds through bank accounts maintained with **HDFC Bank Ltd (Account No. 00212320006757)** and **IDBI Bank Ltd (Banjara Hills Branch)**, which were not part of the lender/consortium banks. Funds routed from the sale proceeds of sugar and power. The summary of the transactions is given below:

(a) HDFC Bank Ltd (Account No.00212320006757)

Year	Debit Amount (Rs. In Crores)	Credit Amount (Rs. In Crores)
2009-10	175.25	174.79
2010-11	259.34	259.34
2011-12	344.33	344.36
2012-13	126.29	126.30
2013-14	50.71	51.46
2014-15	5.94	05.95
Total	961.86	962.64

(b) IDBI Bank Ltd (Account No.00212320006757)

Year	Debit Amount (Rs. In Crores)	Credit Amount (Rs. In Crores)
2015-16	20.52	20.82
2016-17	18.53	18.54
2017-18	24.17	24.17
2018-19	11.12	8.71
2019-20	5.19	5.10
Total	79.53	77.34

3. The borrower has routed substantial amount of funds through non-lender banks as per the above statement of analysis. Routing of funds through non-lending banks violates sanction terms and conditions and violates the RBI guidelines and considered as diversion of funds.

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4. Investment in other companies by way of acquiring equities / debt instruments without approval of lenders. The borrower made Investments in Delara Tourism Corporation Pvt Ltd. In the nature of Inter Corporate Deposits (ICDs) through HDFC Banks worth Rs.25.50 Cr Outstanding as on 31.03.2020 and Investment in shares amounting Rs.10.94 Cr made before FY 2008-09, subsequently in FY 2017-18, the entire shares have been transferred to M/s NCS Investments Pvt Ltd by way of passing journal entries.
5. Siphoning of Funds: Findings of the Forensic Auditor that certain transactions which are not related to the business operations of the company such as acquisition of Hydal Power Plants, dealing in Derivative Contracts etc., which caused huge financial loss to the company and also granted huge amount to the related parties by way of Inter Corporate Deposits and Investment in equity shares.
6. Frequent instances of fund inflows and outflows through related party accounts, particularly in connection with settlements indicates an attempt to obscure the nature or source of transactions. The audit confirms deliberate and extensive misuse of funds by fraudulent conduct of the promoters through associated related entities, involved fund diversion.

(a) Quantum of Siphoning of Funds as below Through Related parties:

Name of the Party	Amount in Crores
Hyderabad Birdpark & Gardens Pvt Ltd	1.42
Delara Tourism Corporation Ltd	25.51
NCS Sugars (Nellore) Limited	2.25
NCS Infotech Ltd	3.58
NCS Charitable Trust	6.10
Total	38.86

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Phone: 28112261-90; email:zs8341@pnb.bank.in

(b) Quantum of Siphoning of Funds as below Through written off of balances /prior period items /Other Modes:

Pary Name	Amount in Crores
Padam Sugar Companv Pvt Ltd	11.00
KBK Chem Engjneering Pvt Ltd	13.22
Agro Corp International - Raw Sugar	12.22
Rhizome Distilleries Pvt Ltd	5.69
Shakti Sugar Industries Ltd (Advance License)	8.86
Ace International	1.38
Emmar MGF Land Ltd	3.48
Total	55.85

(c) Quantum of Siphoning of Funds as below Other Modes:

Party name	Amount in Crores
Amar Infrastructure Limited (Assam Power Plant cost)	54.98
Sree Balaji Balasore Energy Limited	16.90
NCS Storage Systems Pvt Ltd (Shares	2.72
Total	74.60

I. DETAILS OF RECOVERY ACTION INITIATED IN THE ACCOUNT UNDER SARFAESI ACT, SUIT FILING IN DRT ETC. AND ITS PRESENT STATUS:

i) POSITION REGARDING SARFAESI:

The Bank have issued SARFAESI Notice on 12.05.2014 and possessions were not taken as property was attached under section 7 of the MPID Act by the District Collector, Mumbai.

ii) POSITION WITH REGARD TO SUIT/NCLT:

The suit was filed on 27.10.2014 vide OA 1274/2014 before the Hon'ble DRT, Hyderabad and same was allowed. The Recovery Certificate (RC) No. 184/2020 has been issued. The execution proceedings are kept in abeyance due to CIRP against the company and PIRP against the Guarantors pending before the Hon'ble NCLT Hyderabad.

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The Company was admitted into Corporate Insolvency Resolution Process ("CIRP") by an order of the Hon'ble National Company Law Tribunal, Hyderabad dated 24 June 2022 passed in CP(IB) NO 299/7/HDB/2018 and Sh. K Sivalinagam has been appointed as Resolution Professional. Presently Bank has assigned the debt to Maximus ARC vide assignment agreement dated 30.09.2025. The company is under CIRP since 2022.

J. ROLE OF UNKNOWN PUBLIC SERVANTS, CA, STATUTORY AUDITORS E.T.C

From the available record, prima facie, no adverse role of CA, Statutory Auditors, Stock Auditors, Empanelled valuers etc, are apparently observed. However, the role of any third-party entities as well as unknown public servants and private persons may be looked into during course of investigation of this case.

K. STAFF ACCOUNTABILITY STUDY

The examination of staff accountability is completed by the competent authority of Punjab National Bank. CBI may kindly investigate this aspect.

L. GROUNDS FOR DECLARING AS FRAUD

- (a) The Forensic auditor was appointed on 08.10.2024. Forensic audit was conducted in the account by M/s M M Reddy & Co., Chartered Accountants and submitted its report dated 18.06.2025. That based on the findings of the Forensic Auditor which provided & confirms deliberate and extensive misuse of funds by fraudulent conduct of the promoters of the company through associated related entities and involved fund diversion, the Bank had issued show cause notices date 21.08.2025 to all the suspended directors/promoters of M/s NCS Sugars Ltd 1. *Mr.Narayanam Nageswara Rao*, 2. *Mr. Mohd. Zaheeruleshan* 3. *Rama Rao Jakulla*, 4. *Mr. Narayanam Murali* 5. *Mr Narayanam Srinivas* 6.*Mr Dwivedula Satyanarana Peri Sastry*,7. *Mr Dwivedula Krishna Deekshithulu Gullapalli* and 8. *Mr. Qazi Zainulabedin* and to submit their submissions if any in writing within 21 days from the date of receipt of show



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cause notices as why the account/name should not be categorized and reported as fraud to RBI as per extant guidelines w.r.t. findings of Forensic Auditor report dated:18.06.2025 pertaining to Misappropriation of funds and Criminal Breach of Trust for routing of funds through any bank other than the lender bank or members of consortium without prior permission of the bank/lenders.

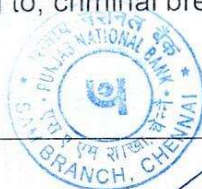
- (b) The suspended directors of company Sh. N Nageshwara Rao given reply dated 13.09.2025 and N Srinivas given his reply dated 15.09.2025, Narayanam Murali given his reply dated 15.09.2025 and Mr.Jakkulla Rama Rao given his reply mail dated 19.09.2025.
- (c) That after considering reply of the suspended directors, Bank decided that the suspended directors of M/s NCS Sugars Ltd committed fraud by fund diversion/siphoning and routed the bank funds through other bank without permission of lender bank with an ulterior motive to defraud the bank.
- (d) The complainant bank had declared the account as fraud on 20.11.2025 on the grounds of Misappropriation of Funds and Criminal of Breach of Trust which constitutes cogent grounds for the accounts being classified as Fraud in terms of extant guidelines issued in consonance with the RBI guidelines/Master Directions on Fraud Risk Management and also in compliance of Judgment dated:27.03.2023 of Hon'ble Supreme Court of India in Civil Appeal No.7300/2022. The fraud was also reported to RBI on 29.11.2025.
- (e) That the accounts have been declared fraud by the complainant bank in terms of judgement dated 27.03.2023 of Hon'ble Supreme Court of India in Civil Appeal No. 7300/2022 titled as 'SBI vs Rajesh Agarwal' on the grounds of misappropriation of funds and criminal breach of trust in terms extant guidelines of Bank and in compliance of RBI master directions on classification and reporting of fraud, after giving opportunity of hearing to the borrowers. Thus, proper opportunity of hearing has been given to the borrower before declaration of the account as fraud.



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M. ACT OF CRIME

- (1) The accused along-with its affiliates/entity has fraudulently and dishonestly diverted the fund advanced by the Bank with a mala-fide and dishonest intention to cheat the bank by entering into criminal conspiracy convened by all the accused with one another. The accused person in convince with each other has committed the offence and is involved in money spinning and round tripping activities.
- (2) The accused company had substantial transactions with its group companies.
- (3) The accused has committed offences of criminal breach of trust, fraud, criminal misappropriation and on the Bank. The intention of the accused was to dishonestly and fraudulently misappropriate Bank's funds and to cheat the Bank by causing wrongful loss to the Bank and wrongful gain to the accused.
- (4) In these circumstances it becomes clear that borrower have misappropriated the loan amount and embezzled the public money which itself is a grave offence. It is further stated that all the above person in order to cause wrongful loss to the bank and wrongful gain to himself have misappropriated the loan amount with the sole ulterior motive to usurp the public money for his personal gain, which is clearly evident by the facts narrated in the complaint. That the accused person by dishonest and fraudulent means, induced Punjab National Bank to part with public funds, misappropriated the loan proceeds and diverted funds. Thus, the accused have made them liable to be prosecuted for the acts of, criminal breach of trust, misappropriation of funds etc. under various sections of law.
- (5) Since, public funds to the tune of Rs. 105.44 Crore have been involved in the fraud and loss to the Bank, in light of the foregoing facts and circumstances, it is most respectfully submitted that the acts committed by the accused persons constitute cognizable offences under the relevant provisions of law including but not limited to offences relating to, criminal breach of trust, misappropriation of funds etc.



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These acts of accused have resulted in substantial wrongful loss to Punjab National Bank and wrongful gain to the accused parties and it is not a business loss to the accused but result of act of crime.

The Account has been assigned to M/s Maximus ARC vide Assignment deed dated 30.09.2025. However, Original Documents shall be provided as and when required.

We confirm that all facts, averments, and submissions made herein are true to the best of our knowledge, as supported by the records available with the Bank. Therefore, it is prayed that a First Information Report (FIR) be registered against the accused persons and their accomplices under appropriate sections of law, investigate the matter and brought the accused persons as well as Unknown Public Servants before court of law in accordance with the provision of Law.

A copy of FIR may please be sent for our records.

Annexure – 1: Letter of Authority

Yours faithfully,


(Signature of Complainant)
Name: Sh Boorle Vara Prasad
Designation: Chief Manager



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**Checklist to Ensure Filing of Complete Complaint by Banks in Fraud Cases in
A/c: M/s NCS Sugars Limited**

S.No.	Details	Status Yes/No
1	The complaint has authorization from the competent authority to file the complaint	Yes
2	The account has been declared NPA as per the laid down procedure	Yes
3	The date of NPA and outstanding thereof have been mentioned.	Yes
4	The NPA account has been declared fraud, with the date of declaration	The account has been declared as fraud on 20.11.2025
5	Where there is delay in filing complaint with CBI after declaration of fraud by the Bank, the delay has been explained.	No Delay
6	The grounds for declaring the fraud by the bank are mentioned clearly.	Yes
7	Details of background of company, sanctioned credit facilities, primary and collateral securities etc. are mentioned.	Yes
8	Legal facts constituting cognizable offence have specific mention.	Yes
9	Name (s) and role of erring bank official(s) as per the staff Accounting Report is clearly mentioned.	The examination of staff accountability is completed by the competent authority of Punjab National Bank. CBI may kindly investigate this aspect
10	Findings of Forensic Audit Report, if conducted and Internal Investigation Report are duly incorporated.	Yes
11	Details of crime proceeds / end-use funds as per the filings of Forensic Audit are mentioned.	Yes
12	In case of uncertainty about the criminality on the part of Bank officials, the Bank has mentioned allegations against unknown public servants.	Yes
13	Roles of CA, Statutory Auditors, Stock Auditors, Empanelled Valuers etc., if any are mentioned.	Role of CA, Statutory Auditors, Stock Auditors, Empanelled Valuers with regard to fraud is not found in the Forensic Audit Report. However, same may be investigated by Investigating Agencies.

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14	Availability of relevant original documents and their safe custody with the Bank is mentioned.	The Account has been assigned to M/s Maximus ARC vide Assignment deed dated 30.09.2025. However, Original Documents shall be provided as and when required.
15	The Bank has ensured that there is no contradiction in the complaint as to whether it is an act of crime or a business loss.	Yes

(Signature of Complainant)

Name: Sh. Boorle Vara Prasad

Designation: Chief Manager

PUNJAB NATIONAL BANK,

SAMB, CHENNAI (834100)

